

2017 P T D 243

[Lahore High Court]

Before Abid Aziz Sheikh, J

Messrs KAMAL LTD. through Director

Versus

FEDERATION OF PAKISTAN through Chairman and 2 others

W.P. No.36533 of 2016, decided on 23rd November, 2016.

Income Tax Ordinance (XLIX of 2001)---

---S. 131(5)---Constitution of Pakistan, Art. 199---Constitutional petition---Stay of recovery---Tax payer was aggrieved of non-extending of stay order under S. 131(5) of Income Tax Ordinance, 2001---Validity---High Court directed Appellate Tribunal Inland Revenue to decide appeal of taxpayer expeditiously preferably within a period of one month from the receipt of certified copy of order passed by High Court and restrained the authorities from taking any coercive measures for recovery of disputed amount till the decision of appeal---Petition was allowed accordingly.

Z.N. Exports (Pvt.) Ltd. v. Collector Sales Tax and others 2003 PTD 1746 and Messrs Pak Saudi Fertilizers Ltd. v. Federation of Pakistan and others 2002 PTD 679 rel.

Khubaib Ahmad for Petitioner.

Malik Abdullah Raza and Sarfraz Ahmad Cheema for Respondents.

ORDER

ABID AZIZ SHEIKH, J.---Learned counsel for the petitioner submits that against assessment order, petitioner's appeal is pending before Appellate Tribunal Inland Revenue (Tribunal), which has not yet been decided. Submits that during pendency of appeal, petitioner filed application for grant of stay in which stay was granted from time to time for period of 180 days, however, appeal could not be decided within said time period. Submits that after expiry of 180 days, tribunal cannot extend stay under provision of section 131(5) of Income Tax Ordinance, 2001 (Ordinance), therefore, this constitutional petition is the only adequate remedy available to the petitioner. Learned counsel further submits that delay in decision of appeal is not attributable to the petitioner, but due to rush of work with Tribunal. Further submits that during pendency of appeal, respondent No.3 has initiated recovery proceedings against the petitioner. Contends that it is settled law that unless the matter is decided by atleast one independent forum outside the revenue hierarchy, the recovery of disputed amount cannot be made. Reliance is placed on Z.N. Exports (Pvt.) Ltd. v. Collector Sales Tax and others (2003 PTD 1746) and Messrs Pak Saudi Fertilizers Ltd. v. Federation of Pakistan and others (2002 PTD 679).

2. Learned counsel for the respondent submits that appeal of the petitioner will be decided by Tribunal in accordance with law at the earliest.

3. After hearing the learned counsel for the parties and in view of the law laid down in afore-noted judgments, I am inclined to direct that learned Tribunal will decide appeal of the petitioner expeditiously preferably within a period of one month from the receipt of certified copy of this order. However, till the decision of appeal, no coercive measures for recovery of disputed amount shall be taken against the petitioner.

4. Disposed of.

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MH/K-30/L Order accordingly.